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P.B.Karunakar And Others vs The State Of Telangana Rep. By Its ... on 2 February, 2018

Bench: C.V. Nagarjuna Reddy, M.S.K. Jaiswal

THE HONOURABLE SRI JUSTICE C.V. NAGARJUNA REDDY AND THE HONOURABLE
SRI JUSTICE M.S.K. JAISWAL

Writ Petition Nos.16330 of 2015 and batch

02-2-2018

P.B.Karunakar and others Petitioners

The State of Telangana Rep. by its Principal Secretary to Government Department of Energy,
Government of Telangana, Secre

!COUNSEL FOR THE PETITIONERS:

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(for the petitioners in W.P. Nos.17963, 17994 and

And 18153 of 2015)

<GIST

>HEAD NOTE:

?CITATIONS: 1. (2013) 3 SCC 594

2. (2007) 14 SCC 234

3. (1989) Supp. (1) SCC 679

4. (2002) 6 SCC 562

5. 2017 (3) ALT 1 (DB)

6. (1981) 1 SCC 166

7. (1999) 9 SCC 700

8. (2003) 10 SCC 533

9. (2014) 1 SCC 1

10. AIR 1967 SC 643

11. 1991 Supp (2) SCC 18

12. (1969) 1 SCC 839

13. (1984) 3 SCC 654

14. (2013) 10 SCC 237

15. (2015) 1 SCC 192

THE HONBLE SRI JUSTICE C.V. NAGARJUNA REDDY

AND

THE HONBLE SRI JUSTICE M.S.K. JAISWAL

Writ Petition Nos.16330, 16504, 16660, 16849, 16886, 16984, 17059,
17061, 17141, 17164, 17178, 17182, 17198, 17199, 17202, 17207, 17209,
17210, 17212, 17213, 17383, 17481, 17714, 17963, 17994, 18153, 19180,
and 30013 of 2015; 37417, 38634 and 40438 of 2017

DATED:02-02-2018

W.P. No.16330 of 2015

THE COURT MADE THE FOLLOWING:

COMMON JUDGMENT:

(per the Honble Sri Justice C.V. Nagarjuna Reddy) This batch of writ petitions involves disputes pertaining to allocation of employees of the power sector undertakings (for short, the power

utilities) in the States of Telangana and Andhra Pradesh. The disputes arose in the wake of the division of the erstwhile State of Andhra Pradesh into two States, namely, the State of Telangana and the residuary State of Andhra Pradesh.

2. Before proceeding further, it is necessary to refer to the details of the writ petitions hereunder.

W.P. Nos.16330, 16504, 16984, 17059, 17141, 17481 and 17714 of 2015 have been filed by the employees of the Southern Power Distribution Company of Telangana Limited (TSSPDCL), who are 288 in number in all these writ petitions together, inter alia to declare Letter No.686/HR.A1/2015, dt.6.6.2015, issued by the Government of Telangana, unilaterally approving guidelines for final allocation of the employees based on nativity of employees as per Service Register (initial cadre/appointment orders); the consequential list prepared based on such guidelines, vide Lr.No.CMD/TSTRANSCO/CGM(HRD)/DS(P,L,IR&R/CC. D. No.1586-5/2015, dated 9.6.2015, of the Chairman & Managing Director, Transmission Corporation of Telangana Limited (TSTRANSCO) and Generation Corporation of Telangana Limited (TSGENCO), and Memo No.CGM (HRD)/GM(Adm.IR&L) AS(Estt.)PO-Estt/547-D2/15, dated 10.6.2015 of TSSPDCL relieving the petitioners as illegal, arbitrary, unconstitutional and contrary to the provisions of the Andhra Pradesh Reorganisation Act, 2014 (hereinafter referred to as, the Reorganisation Act) and to set aside the same and also to direct the respondents to continue the petitioners in TSSPDCL in their respective places with all consequential benefits. Similarly, W.P. Nos.17164, 17198, 17199, 17202, 17207, 17209, 17210, 17212 and 17213 of 2015 have been filed by the employees of the TSNPDCL, who are 75 in number; W.P. Nos.16660, 17182, and 30013 of 2015, have been filed by the employees of the TSTRANSCO, who are 197 in number; and W.P. Nos.16849, 16886, 17061, 17178, 17383 and 19180 of 2015 have been filed by the employees of TSGENCO, who are 457 in number, mainly aggrieved by the aforesaid Letter dt.6.6.2015 of the Government of Telangana and the consequential orders dt.9.6.2015 and 10.6.2015 of the Telangana State power utilities, seeking the similar prayer as referred to above.

3. The APTRANSCO filed W.P. No.17963 of 2015 aggrieved by Letter dt.6.6.2015 of the Government of Telangana as well as the consequential orders passed by the TSTRANSCO on 9.6.2015 and 10.6.2015 and to declare the same as illegal, arbitrary, contrary to the Reorganisation Act and also without jurisdiction, and for a consequential direction to the TSTRANSCO to constitute a joint committee along with the petitioner as ordained in the Meeting held on 20.3.2015 in the presence of Additional Secretary, Ministry of Home Affairs, Government of India. The APGENCO filed W.P. No.17994 of 2015 aggrieved by Letter dt.6.6.2015 of the

Government of Telangana, and the consequential proceedings issued in TGOO No.92/CGM/A, IS & ERP)/2015, dt.10.6.2015 of the TSGENCO and to declare the same as illegal, arbitrary, contrary to the Reorganisation Act as well as the Minutes dt.20.3.2015 of inter se parties, and set aside the same and to direct the Union of India to issue necessary directions to the State of Telangana and TSGENCO to abide by the Minutes dt.20.3.2015 in all aspects. W.P. Nos.18153 of 2015 is filed by APSPDCL and APEPDCL to declare the action of State of Telangana, TSSPDCL and TSNPDCL in issuing proceedings vide Letter dt.6.6.2015 of the Government of Telangana and consequential orders dt.09.6.2015 and 10.06.2015 of TSSPDCL and TSNPDCL, as illegal, null and void and contrary to the provisions of the Reorganisation Act and to direct TSSPDCL to constitute a Joint Committee along with the petitioners as ordained in the meeting held on 20.3.2015 in the presence of the Additional Secretary to Government of India, Ministry of Home Affairs, to determine the modalities for division of the employees.

4. W.P. No.37417 of 2017 is filed by one of the employees of the APTRANSCO to declare the action of the respondents in not declaring her as local candidate belonging to the State of Telangana and also to declare the action of respondents Nos.1 to 3 in the writ petition in not relieving her to join in the TSTRANSCO, Hyderabad, as illegal and arbitrary, and for a direction to the said respondents to relieve her forthwith and also for a direction to the TSTRANSCO to permit her to join duty in TSTRANSCO, Hyderabad. W.P. Nos.38634 and 40438 of 2017 have been filed by employees, 46 in number in all, of APSPDCL to declare the action of the TSSPDCL and its Chief General Manager (HRD) in not allowing them to submit the options on par with other employees in terms of the order dt..3.11.2017 in W.P. No.16504 of 2015 and batch as illegal, arbitrary and contrary to the order dt.17.06.2014 in W.P. No.15678 of 2014 and consequently to direct the TSSPDCL and its CGM(HRD) to permit them to submit their options on par with other employees.

For convenience, the employees who filed the writ petitions are referred to as the petitioners/employees.

5. The background facts leading to these disputes are summarized hereunder: In the undivided State of Andhra Pradesh, the Andhra Pradesh State Electricity Board (for short, the Board) was created under the provisions of the Electricity (Supply) Act, 1948 (hereinafter referred to as the Electricity Supply Act). The Board was carrying on the activities of generation, transmission, distribution and supply of electricity to its consumers. The employees connected with all these activities were working under the administrative control of the Board in the various parts of the

State of Andhra Pradesh. The State of Andhra Pradesh was one of the few States which has introduced electricity reforms by enacting the Andhra Pradesh Electricity Reform Act, 1998 (hereinafter referred to as the Electricity Reform Act). The Electricity Reform Act provided for formation of separate companies for generation, transmission, distribution and supply by unbundling the activities of the Board. As a first step towards this direction, the Board was divided into two companies, namely, A.P. Transmission Corporation (APTRANSCO) and A.P. Generation Corporation (APGENCO) with effect from 01.02.1999. The APGENCO was entrusted with the activity of power generation and the APTRANSCO with transmission, distribution and supply. With effect from 1.4.2000 the APTRANSCO was further unbundled with the incorporation of four distribution companies, namely, A.P. Central Power Distribution Company Limited (APCPDCL), A.P. Southern Power Distribution Company Limited (APSPDCL), A.P. Eastern Power Distribution Company Limited (APEPDCL) and A.P. Northern Power Distribution Company Limited (APNPDCL). While the activity of transmission alone was retained with the APTRANSCO, the four distribution companies were entrusted with the functions of distribution and supply of electricity to the end consumers. The employees working in the erstwhile A.P.State Electricity Board were allotted to the respective organizations on permanent basis and had been working under the control of their respective organizations.

6. Under the Reorganisation Act, the State of Telangana has been carved out of the undivided State of Andhra Pradesh. Ten out of twenty-three Districts have been included in the State of Telangana and the remaining thirteen Districts were included in the residuary State of Andhra Pradesh. Three villages, viz., Bhurgampadu, Seetharamanagaram and Kondreka in Bhurgampadu Mandal in Khammam District, which was made part of the State of Telangana, have been included in the State of Andhra Pradesh. The Reorganisation Act has received the assent of the President on 01.03.2014 and the same came into force with effect from 04.03.2014. Under Section 3 of the Reorganisation Act, the State of Telangana was formed on and from the appointed day, i.e, 02.06.2014, the day on which the notification to that effect, was issued in the Official Gazette. In this context, the salient features of the Reorganisation Act, which are relevant for the purpose of the present cases, are briefly referred hereunder.

7. Hyderabad is made common capital for both the States for a period not exceeding ten years from the appointed day. The Reorganisation Act envisaged a new capital for the State of Andhra Pradesh. The Governor shall be the common Governor for both the States for such period as may be determined by the President. The existing High Court is renamed as the High Court of

Judicature at Hyderabad and made the common High Court for both the States till a separate High Court is constituted for the State of Andhra Pradesh. The Judges of the High Court are treated as the Judges of the common High Court. Part VI of the Act provided for apportionment of assets and liabilities between the two States. Part VII pertains to the provisions as to the Corporations included in the Ninth Schedule. The provisions from Sections 68 to 75 of the Reorganisation Act fall under this part. Under Section 68, the companies and the corporations specified in the Ninth Schedule constituted for the existing State of Andhra Pradesh shall, on and from the appointed day, continue to function in those areas in respect of which they were functioning immediately before that day and the assets, rights and liabilities of these companies and the corporations shall be apportioned between the successor States in the manner provided in Section 53 of the Reorganisation Act. Section 68(1) falling under Part-VII (Provisions as to certain corporations) provided that companies and corporations specified in the Ninth Schedule constituted for the existing State of Andhra Pradesh shall, on and from the appointed day, continue to function in those areas in respect of which they were functioning immediately before that day, under sub-section (2) thereof, the assets and liabilities of the companies and corporations referred to in sub-section (1) shall be apportioned between the successor States in the manner provided in section 53.

8. Part VIII deals with the provisions as to services. Under this part, separate provisions have been made for the All India Service Officers and the persons falling under other services in connection with the affairs of the existing State of Andhra Pradesh. Section 76 deals with the All India Services while Section 77 pertains to the employees serving in connection with the affairs of the existing State of Andhra Pradesh. For these categories, the power of fixation of cadre strength, composition and allocation of officers was vested in the Central Government. As regards the employees of the public sector undertakings, which include the power utilities involved in these writ petitions, Section 82 made a separate provision. Sections 68 and 82, which deal with the distribution of assets and the employees of the undertakings specified in the Ninth Schedule relevant for the present case, read as follows:

68. Provisions for various companies and corporations:- (1) The companies and corporations specified in the Ninth Schedule constituted for the existing State of Andhra Pradesh shall, on and from the appointed day, continue to function in those areas in respect of which they were functioning immediately before that day, subject to the provisions of this section.

(2) The assets, rights and liabilities of the companies and corporations referred to in sub-section (1) shall be apportioned between the successor States in the manner provided in section

53.

82. Provision for employees of Public Sector Undertakings etc.:— On and from the appointed day, the employees of State Public Sector Undertakings, corporations and other autonomous bodies shall continue to function in such undertaking, corporation or autonomous bodies for a period of one year and during this period the corporate body concerned shall determine the modalities for distributing the personnel between the two successor States.

Section 92 of the Act falling under Part X relating to Infrastructure and Special Economic Measures, which has a bearing on the issues involved in these cases, reads as follows:

92. Successor States to follow principles, guidelines, etc., issued by Central Government: — The principles, guidelines, directions and orders issued by the Central Government, on and from the appointed day, on matters relating to coal, oil and natural gas and power generation, transmission and distribution as enumerated in the Twelfth Schedule shall be implemented by the successor States.

9. The Twelfth Schedule is divided into three divisions; i.e., A Coal, B Oil and Gas, and C - Power. Clauses 1 to 7 of Division C relating to power inter alia deal with the division of assets and infrastructure of generation, transmission and load dispatch centre. Clause 8, which is relevant for the present purpose, reads as follows:

8. The districts of Anantapur and Kurnool which fall within the jurisdiction of the AP Central Power Distribution Company Ltd. will now be reassigned to the AP South Power Distribution Company Ltd.

10. We shall now discuss the measures taken by the undivided State of Andhra Pradesh before the appointed day.

The name of the Central Power Distribution Company of Andhra Pradesh was changed as Southern Power Distribution Company of Telangana Limited, under a certificate of incorporation issued by the Registrar of Companies, Hyderabad, on 27.05.2014. G.O. Ms. No.24, Energy (CC) Department, dt.29.05.2014, was issued re-assigning the distribution business of Anantapur and Kurnool Districts which fell within the residuary State of Andhra Pradesh under Clause - C of the Twelfth Schedule. Under this G.O., apart from reassigning the assets and liabilities of the erstwhile APCPDCL situated in the two Districts of Anantapur and Kurnool, various other

measures were taken, which include reassigning of sanctioned posts in various offices like, Circle Office, Division Office, Sub-Division Office etc. situated in the said two Districts to APSPDCL and apportionment of sanctioned posts of the Kurnool Zonal Office to APSPDCL and TSSPDCL and also the sanctioned posts of the erstwhile APCPDCL Corporate Office.

11. The undivided State of Andhra Pradesh issued G.O. Ms. No.25, dt.29.05.2014 which inter alia provided as follows: (i) Transfer of functions presently being carried out by APGENCO in the area of Telangana State to TGGENCO from the effective date. (ii) Transfer of Power Plants (Thermal, Hydel and Solar) located in Telangana Region to TGGENCO on as is where is basis as per clause C1 of the Twelfth Schedule read with Section 92 of the Reorganisation Act. (iii) Division of sanctioned Technical posts at Headquarters among Thermal and Hydel Projects as per the original sanction of posts in APGENCO. (iv) Transfer of all sanctioned posts for Telangana Region Projects located in Telangana State to TGGENCO with effect from the effective date. (v) Principles were laid down for division of posts at APGENCO Head Quarters in respect of sanctioned technical posts and sanctioned common services posts at Head Quarters. (vi) The Transfer of employees between two GENCOs to be made following the guidelines meant for Government employees and continuance of employees and all the staff working at various Plants/Locations and Training Institute at Dr.NTTPS as on the effective date pending such transfer.

12. The undivided State of Andhra Pradesh also issued G.O. Ms. No.26, dt.29.05.2014 and G.O. Rt. No.223, dt.30.5.2014. Under the former G.O., a separate TRANSCO was created for the State of Telangana while continuing the APTRANSCO for the residuary State of Andhra Pradesh with effect from 02.06.2014. The functions carried out by the APTRANSCO in the area of Telangana stood transferred to TSTRANSCO. The assets and liabilities were also transferred to the two TRANSCOs. Clause 2 of the said G.O. authorized the CMD of APTRANSCO to take further necessary action for transfer of functions, assets, liabilities, posts and employees to TSTRANSCO. Under G.O. Rt. No.223, dt.30.5.2014, a Three- Member Expert Committee headed by Smt. Sheela Bhide, IAS (Retd.) was constituted for ensuring preparation of demerger plan for equitable transfer of assets and liabilities.

13. The erstwhile APCPDCL issued C.O.O.CGM (HRD) MS. No.318, dt.31.05.2014 to give effect to G.O. Ms. No.24, dt.29.5.2014. The said proceedings provided that all the employees working in Anantapur and Kurnool Districts will continue in the same places till the final

allotment of employees to the respective DISCOMs is completed. Accordingly, various cadres of personnel were identified and they were provisionally allotted to their respective place